bidding in areas of known mineralization and on first-in-time basis in areas where mineralization is not known.

- *However*, in order to meet the objective of revenue maximization in an open, transparent and competitive manner, this should be preceded by detailed geological mapping of the mineral wealth of the country.
- Further, any policy prescription regarding the use of natural resources must ensure that the process of selection is fair, reasonable, nondiscriminatory, transparent, and aimed at promoting healthy competition and equitable treatment.

• Owing to a number of external and internal factors, viability of *airline* operations in India has come under stress:
  - A high operating cost environment owing to high and rising cost of aviation turbine fuel (ATF) coupled with rupee depreciation is making operations unviable for carriers in India.
  - The Expert Report of Nathan Economic Consulting India Private Ltd. (Nathan India) which went into the question of pricing and the tax regime governing ATF concluded that ATF prices in India are significantly higher (at least 40 per cent) than in competing hubs in the region such as Singapore, Hong Kong, and Dubai.
  - Therefore, there is need to rationalize the tax regime particularly value added tax on ATF which is in the range of 20-30 per cent in most of the states.
  - The Ministry of Civil Aviation is of the view that ATF should be included under the declared goods category under the relevant provision of the Central Sales Tax Act so that a uniform levy of 5 per cent is achieved.
  - Equally important is the need for a transparent pricing regime for ATF in India. A high tax regime for aviation in general and ATF in particular will reduce the wider economic benefits available from aviation, resulting in a negative impact on economic growth and overall government revenue bases.

• The *Railways* is another urgent priority for the 12th Plan: